

Benchmark - Hierarchy and ERPs

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A hierarchical organization structure allows for defined levels of management to be centralized in data management and reduces blurred lines of roles, planning and control which allows for key performance indicators to be provided and analyzed. A company that has a proper hierarchy structure provides clear, defined division of labor, specialization, control, responsibility and unity of command provides an environment for efficient communication, delegation, policy adherence, and stable working environments (*Pearlson, et al., 2020*). A clear hierarchy provides workers with the ability to execute tasks efficiently with clear responsibilities, standardized processes being presented and implemented, and centralized decision making for strong operation and resource control (*Jerab, et al., 2023*).

When a business has a hierarchical structure it provides the business with a foundational backbone to allow for innovative departmentalization, specialization and complement cross functional teams in order to have efficiency and collaboration. This innovative mindset must be ignited by leadership who are intentional about modernizing the organizational structure (*Jerab, et al., 2023*). On the other hand, having a corporate hierarchy can decrease productivity in business processes.

Hierarchy provides structure for clear responsibilities and communication but there are disadvantages to having a standard hierarchy. Organizations are faced with complex decisions that sometimes have partial or unclarified information. Having a standard hierarchy can cause a lack of efficiency of decision-information being passed, in decision making or delegation as there are a variety of people that it needs to pass through, acknowledge, process, and transmit. In addition, if information or task has to pass through several layers of hierarchy, information or tasks may be misinterpreted, be lost due to data processing inequality, and face incorrect

filtering. Lastly, different managers value different details, consulting with various groups in making decisions having improper communication procedures in place will cause a lack of productivity as well.

Having a non hierarchical structure such as hybrid or matrix topologies can help aid these struggles as they promote collaboration and open communication between management and different departments. There are theories produced to aid a lag of efficiency such as the bottleneck theory which encourages finding relevant connections to skip between to boost productivity in relevant decision making information that needs to be transmitted/processed. In addition, if the organization ensures that each level of the hierarchy can provide compressed versions of information to their directly relevant superior then if details, clarifications or confirmations are needed then they can be requested (*Gordon, 2022*).

Though a standard hierarchy provides clear definitions of roles and responsibilities over information and business processes it can discourage the collaborative culture outside of their immediate teams and encourage cliques and competition. This can reduce the desire for employees to share or welcome insight from their coworkers which can negatively impact submitting requests up the chain of command. Another disadvantage that the standard hierarchy structure can present is developing a clear distance between the leaders and the employees which creates an unproductive/unmotivated relationship (organizational design, 2021).

ERP systems streamline business processes

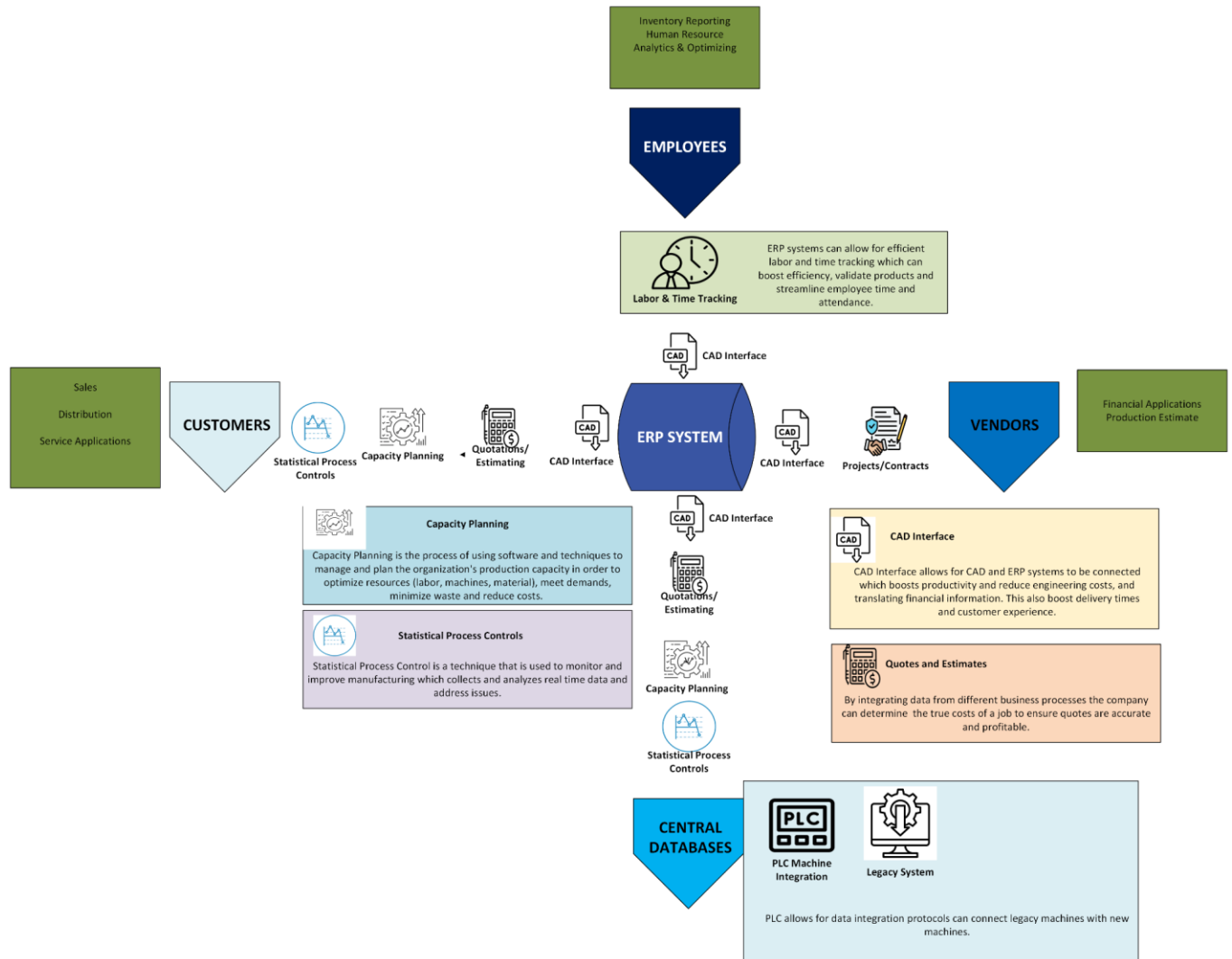
ERP systems provide enterprise optimization and allow easy analysis and management of manufacturing, distribution and support processes within one integrated system. There are a variety of generations that can be implemented that allows for a different level of users/teams to utilize the system for information and processes. ERP systems are now web-enabled and for

cloud-based delivery which enables stakeholders, chain supply employees, customers, collaborators and any department to be able to manage data such as inventory, customer relations, financial services and more. Having a ERP system allows for various departments to collaborate business processes by providing a centralized platform for authorized users to access, modify, and confirm information/structure. For instance, HR systems provide a centralized platform for employees, HR departments, management, training modules and other relevant users to streamline onboarding, updating and offboarding processes (*Pearlson, et al., 2020*).

Problems ERPs Can Cause

ERPs provide a centralized platform for streamlining various business processes, manage resources, and enable accessibility for multiple parties. Unfortunately, having integrated systems such as ERPs still produce levels of security risks and vulnerabilities. For instance, implementing ERP systems requires IT professionals to have thorough knowledge of the security risks that these new integrations can expose to the company. If a company chooses to implement ERPs that are interconnected to infrastructure, they must ensure that the software is properly updated and patched as the interconnectivity can spread the vulnerabilities to essential operating systems and applications. IT professionals can't address security vulnerabilities on ERP systems unless they are brought to light; if a company is not consistent in regular scans, penetration testing and IT control audits there is an increased security risk. Another problem that ERPs can cause is the lack of proper training for staff that allows for productive and secure usage of the programs that benefits business processes and reduces mistakes that can impact others (*Beaver, 2024*).

Part 2:



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